ACADEMIC CENTRAL

PRACTICE EXAMINATION

NC(V) LEVEL 2

ENTREPRENEURSHIP

PAPER 1 · PRACTICE A · MARKING GUIDELINE

MARKS: 100

Marking guideline for the Academic Central NC(V) Level 2 Entrepreneurship paper 1 · practice a.

Written by Academic Central for practice, following the NC(V) subject guidelines for NC(V) Level 2. It is not a Department of Higher Education and Training marking guideline.

How to mark: each ✓ is one mark. Accept answers in the student's own words if the meaning is correct. Where the case study must be used, give marks only for answers that relate to Lerato's business. Use consistent accuracy in calculations.

SECTION A

QUESTION 1

1.1 1.1.1 A ✓ 1.1.2 C ✓ 1.1.3 C ✓ 1.1.4 A ✓ 1.1.5 D ✓ 1.1.6 B ✓ 1.1.7 D ✓ 1.1.8 B ✓ 1.1.9 C ✓ 1.1.10 A ✓ (10)

1.2 1.2.1 False ✓ 1.2.2 True ✓ 1.2.3 True ✓ 1.2.4 True ✓ 1.2.5 True ✓ 1.2.6 True ✓ 1.2.7 False ✓ 1.2.8 True ✓ 1.2.9 True ✓ 1.2.10 False ✓ (10)

1.3 1.3.1 A ✓ 1.3.2 D ✓ 1.3.3 H ✓ 1.3.4 C ✓ 1.3.5 G ✓ 1.3.6 J ✓ 1.3.7 E ✓ 1.3.8 B ✓ 1.3.9 I ✓ 1.3.10 F ✓ (10)

TOTAL SECTION A: [30]

SECTION B

QUESTION 2

2.1 Any FOUR characteristics ✓✓✓✓: hard-working; risk-taker; good with people; creative; self-confident; determined / persistent; good planner. Support from the case study for TWO ✓✓, e.g. "works hard"; "not afraid of failure" (risk-taker); "good with people"; saw a gap (opportunity spotter) (6)

2.2 A business idea is any thought about a product or service that could be sold ✓; an opportunity is an idea that meets a real need, has enough customers and can make a profit ✓. Lerato's idea of repairing phones ✓ is an opportunity because many people need repairs and the nearest shop is 25 km away ✓. (4)

2.3 2 marks each (identify ✓ + relate to the case ✓): Strength – IT qualification / good with people / own savings; Weakness – limited capital (R8 000) / no business experience / small container; Opportunity – nearest shop is 25 km away, many cracked phones and slow laptops; Threat – competitor in the next street / crime / load-shedding (8)

2.4 Any TWO: create jobs ✓; pay taxes ✓; provide goods and services where they are needed; encourage competition and innovation; reduce poverty (2)

[20]

QUESTION 3

3.1 Sole trader ✓. Advantages (any TWO): easy and cheap to start ✓; owner keeps all profits ✓; owner makes all decisions quickly. Disadvantage (any ONE): unlimited liability – personal possessions can be taken to pay debts ✓; limited capital; business ends if the owner dies. (Accept a private company with correct advantages and disadvantages.) (5)

3.2 Any TWO: how profits and losses will be shared ✓; capital contributed by each partner ✓; duties of each partner; how disputes will be solved; what happens if a partner leaves or dies (2)

3.3 Any THREE: loan from a bank ✓; government agencies / grants (e.g. SEDA, NYDA, SEFA) ✓; family and friends ✓; stokvel; a partner's capital; supplier credit (3)

3.4 Any FIVE ✓✓✓✓✓: register a business name / company with CIPC (if a company); register with SARS for tax; get a trading licence / permit from the municipality; zoning approval or a lease agreement for the container; comply with health and safety rules (e.g. fire extinguisher, safe wiring); register for UIF / COIDA if she employs staff; follow the Consumer Protection Act (guarantees, fair prices); protect customers' data (POPIA) (5)

[15]

QUESTION 4

4.1 People in her township (near the taxi rank) ✓ who own cellphones and laptops, e.g. commuters, students, small business owners ✓. (2)

4.2 Product – screen repairs, virus removal, software installation (quality parts, guarantee) ✓✓; Price – affordable prices, lower than town (no transport cost for customers) ✓✓; Place – container near the taxi rank, easy to reach / convenient hours ✓✓; Promotion – flyers, WhatsApp / Facebook adverts, word of mouth, opening special ✓✓ (8)

4.3 Any TWO: social media (WhatsApp status, Facebook page) ✓; flyers / posters at the taxi rank ✓; signboard on the container; word of mouth / referral discount; community radio (2)

4.4 Any THREE: be friendly and polite ✓; finish repairs on time / as promised ✓; give a guarantee on repairs ✓; charge fair, clear prices; keep customers' data private; follow up after repairs (3)

[15]

QUESTION 5

5.1.1 $\text{R}1\,200 + \text{R}400 + \text{R}300$ ✓ $= \text{R}1\,900$ ✓ (2)

5.1.2 $\text{R}600 - \text{R}350$ ✓ $= \text{R}250$ ✓ (2)

5.1.3 $\text{R}1\,900 \div \text{R}250$ ✓ $= 7{,}6$ ✓ $\rightarrow 8$ repairs ✓ (3)

5.1.4 $20 \times \text{R}250 = \text{R}5\,000$ ✓; $\text{R}5\,000 - \text{R}1\,900$ ✓ $= \text{R}3\,100$ ✓ (3)

5.1.5 $(\text{R}600 - \text{R}350) \div \text{R}350 \times 100$ ✓✓ $= 71{,}43\%$ ✓ (3)

5.2 Any SIX ✓✓✓✓✓✓: executive summary; business description (name, vision, mission); products and services; market analysis (target market, competitors); marketing plan; operations plan (location, equipment, suppliers); management and ownership; financial plan (start-up costs, projected income); SWOT analysis (6)

5.3 To know whether the business is really making a profit / to keep accurate records ✓ (accept: so that the business is not run out of money by personal spending) (1)

[20]

TOTAL SECTION B: [70]

TOTAL: 100

END OF MARKING GUIDELINE